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POLICY NUMBER: FP-OPSFIN-141

Accounts Payable Supplier Set-Up & Payment

This policy provides guidelines for supplier set-up and maintenance, as well as guidance around the related payment.

POLICY STATEMENT

When goods are purchased on credit from a supplier, the amount owing to the supplier is recorded as an accounts payable.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. SUPPLIER SET-UP GUIDELINES

- 1) A supplier can only be set-up in the procurement and accounts payable systems once a "New Supplier Form" (or equivalent) is complete and approved. This form may vary but must contain the following information at a minimum:
 - a) Supplier name
 - b) Supplier address
 - c) Services or goods provided
 - d) Bank account information (only if paid electronically) which must be accompanied by confirmation from the supplier or the bank on company letterhead
 - e) Payment terms
 - f) Payment method (if appropriate)
 - g) Tax identification number (this may vary dependent on country)
- 2) If the supplier is set-up at the Hotel, the new supplier form must be approved by either the Finance Leader or Operations Leader and must be supported by supplier documentation (i.e., tax form, bank details, etc.).
- 3) If the supplier is set-up above property, the procedure as established by the Shared Service Center must be followed. The supplier details must be supported by documentation as required by the applicable Shared Service Center (i.e., tax form, bank details, etc.). Additional approval or documentation may be required as mandated by Shared Service procurement functions.
- 4) All invoices must be delivered to the accounts payable function.
- 5) Suppliers must be set-up in the procurement system by a Team Member who does not receive goods.
- 6) Suppliers must be set-up in the accounts payable system by a Team Member who does not have access to process accounts payable payments (i.e., check runs, electronic transfer, etc.).
- 7) If the supplier is set-up at the Hotel, each Hotel must introduce a standard naming convention for suppliers. This will ensure that the same supplier is not setup twice in the system.
- 8) If suppliers are setup at the Hotel, a system report summarizing all additions and changes to suppliers must be produced monthly. This report must be reviewed, signed, and dated by the Finance Leader (or designee) to confirm that all updates are accurate and approved. Particular attention must be made to any changes to supplier bank details.
- 9) Changes to supplier bank details, if paid electronically, must be accompanied by confirmation from the supplier on their company letterhead or their bank's letterhead. Changes to supplier bank details, including changes during the supplier set-up process, must be confirmed with the supplier directly by calling them using details already on file or independently verified.
- 10) If a supplier has not been used for 18 months, and once all outstanding payments have been made to the supplier, this supplier must be locked / inactivated in the procurement and accounts payable systems.

B. PAYMENT GUIDANCE

- 1) Invoices must be paid within negotiated payment terms.
- 2) If an invoice is not received electronically, the Hotel must mark or stamp the invoice with the date received.
- 3) Prior to processing invoices for payment, the following verification procedures must take place:
 - a) Accuracy of invoice including name of hotel and name of supplier
 - b) Correct quantities as per the purchase order and delivery note / packing slip / goods received note
 - c) Correct price
 - d) Correct tax (if applicable)
 - e) Discounts applied (if applicable)
 - f) Delivery note / packing slip / goods received note attached and signed by receiving Team Member for properties with no electronic procurement system. For hotels with an electronic procurement system, invoice must be matched to the received goods in the system.
 - g) Purchase order approved by appropriate Team Members as per FP-OPSFIN-140 Accounts Payable Ordering & Receiving. Purchase orders (if applicable) should be marked closed in the procurement system once all goods or services are received.
- 4) For services provided under written agreement, a signed contract or blanket purchase order must be confirmed against the invoice.
- 5) Invoices for services rendered must be accompanied by documentation that the service was performed and completed in a satisfactory manner by a Supervisor or above from the applicable Department. Documentation may be noted on the face of the invoice or on the purchase order.
- 6) If all of the above are correct, then no further action is required and the invoice may be processed for payment.
- 7) Unless determined at the regional level, each property may establish a reasonable discrepancy threshold approved by both the Finance Leader and Operations Leader, at minimum. If there is a discrepancy that falls outside this set threshold, the correct documentation must be obtained, and/or an additional purchase order must be raised for the difference, and/or the invoice must be approved by both the Finance Leader and the Operations Leader.
- 8) Credit amounts must not be applied / reduced from a supplier's account until the credit note / credit invoice has been received from the supplier.
- 9) An internal, documented procedure must be in place to ensure that once an invoice has been paid, it can't be paid again.
- 10) Payment runs are to be carried out on a periodic basis as determined by the Finance Leader or Shared Service Center, where applicable. Prior to payment being issued / released, the payment run report must be authorized by the Finance Leader (or designee). Prior to authorization, the following items noted below must be verified. Any changes that are required based on the review should be noted on the report and approval must be evidenced by signature and date.
 - a) Amount is correct
 - b) Supplier name is correct
 - c) Supplier bank details agree to the invoice, where paid electronically
 - d) Invoices are held, where applicable
 - e) Cash is available
- 11) Accounts payable cannot physically handle the payment checks at any time. For Hotels that disburse payments on-site, the "void" or "carbon" copies of the check can be handled by accounts payable and used to support the payment. The check register must be signed and dated by the Finance Leader (or designee).
- 12) If pre-printed checks are used to pay suppliers, these are to be kept in a locked and secure location at the Hotel. The pre-printed checks are required to have a numbering sequence so that they can be controlled and properly recorded.
- 13) Checks must be ordered by the Finance Leader (or designee). Upon receipt of the pre-printed check order, the boxes are to be confirmed that the first and last check sequence in each box is intact and verified against the order.

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- 14) When pre-printed checks are issued for printing, they must be recorded in a log to identify which checks have been used. This log must be signed by the Finance Leader and the Team Member who receives the pre-printed check.
- 15) The Finance Leader must then confirm that all the checks issued for printing have been returned for signing and that they agree to the final payment run report.
- 16) On demand / manual check requests must be approved on a "Check Request Form" and prepared by a Team Member who does not have check signing authority. The checks must be subsequently processed through the accounts payable system timely.
- 17) Monthly, a system generated accounts payable aging report must be produced and approved by the Finance Leader or Operations Leader.

DEFINITIONS

TERM/ACRONYM	DEFINITIONS
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager).